

The great railroad boom of the 19th century ended in corruption and imaginative manipulation of the prices of railroad stocks. Above, railroad officials celebrate the completion of the first transcontinental rail line in 1869 in Promontory, Utah.

Once again, in the aftermath there was the predictable escapism. This, by now, was an American tradition. The problem was not, it was said, the earlier euphoria but something amiss with money. The alleged reason for the earlier collapses, also involving money, had been the unduly heavy hand of the two Banks of the United States; now the cause was said to be a little-noticed plan of a short time earlier to retire the Civil War greenbacks and move to a gold standard. Nothing, given the history and the fascination with paper, could appeal more reliably to the American mind. Born forthwith were two great political movements, that of the Greenback Party and that of the advocates of the free coinage of silver. And soon to come was the resonant voice of William Jennings Bryan and its warning as to the American crucifixion on the cross of gold.

In the last decades of the last century, given the broad deflationary tendency of the time, there was a strong case for a more liberal monetary regime. Those who so urged were not wrong. But then, as ever, the effect of the monetary agitation was to divert attention from the role of the earlier speculation and its inevitable and depressive aftereffect.



The economist Joseph Schumpeter held that recurrent mania was a normal feature of business life.

From the neatly timed sequence of boom and bust in the last century came, in later years, another design to conceal the euphoric episode. That, in effect, was to normalize it. Boom and bust were said to be predictable manifestations of the business cycle. Mania there might be, as Joseph